

ECONOMY — Inflation, Unemployment & Employment Schemes

Batch 4/10 · Parmar Ch.5 (full) + Lucent §7 (full) + PYQ buckets "07 Inflation" + "08 Poverty & Unemployment"
· ★=PYQ-tested · [B]=PYQ-book-only

1 Inflation — Basics

- Inflation → ↑ general price level of goods/services → purchasing power decreases
- During inflation → **debtor/borrower benefits more than lender** (repaid money worth less than when borrowed)
- Real Interest Rate = Nominal Interest Rate – Inflation
- **Fisher's Quantity Theory**: $MV=PT$ (M=Money Supply, P=Price Level, V=Velocity, T=Transactions) → $M↑→P↑$ (V,T constant) → direct M-inflation link
- Irving Fisher → gave "Money Illusion" concept
- **Seigniorage** → central bank's profit from currency issue = Face Value – Production Cost

Type	Range
Creeping	3-4%
Walking	4-10%
Running	10-20%
Galloping	20-100%
Hyper	>100%

DOUBT "Inflationary Gap" is defined twice in Parmar: (1) "Demand exceeds Supply → Actual GDP exceeds Potential GDP" (p.266); (2) "excess of aggregate demand over aggregate supply at full-employment level → upward price pressure" (p.268). Both preserved verbatim, essentially the same concept stated twice.

2 Causes of Inflation

Demand-Pull Inflation	Cost-Push Inflation
Demand-side; strong growth/↑ govt spending/↑ exports; short-term; "too much money chasing too few goods"	Supply-side; ↑ wages/raw-material prices/indirect taxes; long-term

HOOK Demand-pull mechanism [B] ★: govt ↑ spending/↓ taxes → ↑ aggregate demand → firms can't scale production fast enough → shortage → prices rise = **Demand-Pull Inflation** ★.

3 Measuring Inflation — WPI, CPI & Related Indices

WPI	CPI
Wholesale-level, pre-consumer prices; published by Office of Economic Adviser , Min. of Commerce & Industry; base year 2022-23 (prev. 2011-12); monthly (14th)	Consumer/retail-level, cost-of-living; released by NSO/MoSPI ; base year 2023-24 [see DOUBT]; monthly (12th)
Weights: Manufactured 64.2%, Primary articles 22.6%, Fuel&Power 13.15%	Weights: Food&Beverages 45.8% (highest), Housing 10%, Fuel&Power 6.8%

Both formulas: $\text{Index} = 100 \times (\text{current-year basket cost} / \text{base-year basket cost})$. **Inflation Rate** = $[(\text{Current Index} - \text{Previous Index}) / \text{Previous Index}] \times 100$.

DOUBT Parmar states CPI base year as **2023-24** on p.266, then as **2024** for "CPI (Rural/Urban/Combined)" on p.267 — internal inconsistency in the same book, both preserved.

4 types of CPI: CPI-IW (base 2016), CPI-AL (base 2019), CPI-RL (base 2019) — all released by Labour Bureau; CPI (Rural/Urban/Combined, base 2024, by NSO/MoSPI) — **used by RBI for inflation targeting**.
PPI (Producer Price Index) → seller's-perspective price change (vs CPI = buyer's perspective); captures "factory gate" prices before tax/distribution costs; a *leading indicator* (cost passed to consumers later).

MPFA (Monetary Policy Framework Agreement) → signed Govt+RBI, **Feb 2015**; mandates RBI maintain price stability + CPI inflation target of **(4±2)%**.

Core Inflation → excludes food+energy prices (via CPI); = Headline Inflation – Volatile Inflation.

IIP → industrial-production growth indicator; base year 2012-13; by NSO/MoSPI. **8 core industries** = 40% of IIP weight, decreasing order: Refinery Products → Electricity → Steel → Coal → Crude Oil → Natural Gas → Cement → Fertilizers.

4 Inflation Dynamics — Glossary

Term	Meaning
Disinflation	↓ rate of inflation (prices may still rise); measured yr-on-yr; cause = tighter monetary policy/slower money-supply growth
Deflation	General price decrease; purchasing power ↑; cause = ↓ money supply/investment/production
Shrinkflation	Same price, reduced qty/size → ↑ price-per-unit
Bottleneck Inflation	Restricted production/supply at a stage → shortages/price rise
Skewflation	Essential-goods (food) prices rise sharply vs non-essentials stable — uneven pattern
Reflation	Deliberate govt policy → ↑ economic activity/prices via ↑ money supply/govt spend/↓ taxes, to recover from recession
Imported Inflation	↑ import/raw-material prices → ↑ domestic price level
Inflation Target	Specific rate central bank aims to maintain via monetary policy

HOOK **Phillips Curve** → unemployment↔inflation graph, inverse relationship (High inflation=Low unemployment, Low inflation=High unemployment). **Stagflation** ★ = Stagnation+Inflation → high inflation+low growth → high unemployment (cause: production slowdown/decline) [B ★: "high inflation combined w/ stagnant growth" = Stagflation ★ — a lethal combo of high unemployment+rising prices; policy dilemma since controlling inflation worsens unemployment ★].

TRAP Keynesian recession response [B] ★, reinforced across multiple Qs: govt should **↑ spending + ↓ taxes** → stimulate aggregate demand = "**Expansionary Fiscal Policy**" ★ (NOT ↑ interest rates/promote imports/↓ spending — tested distractors).

5 Unemployment — NSSO Measurement Methods

- Unemployment (Parmar) → actively seeking job, unable to find work
- NSSO's 3 methods: **Usual Status, Current Weekly Status, Daily Status**

Method	Detail
Usual Status (US)	Reference: last 365 days; identifies chronic/long-term unemployment; 2 components — Principal Status (PS) : majority-time activity in the year; Subsidiary Status (SS) : ≥30 days/yr additional activity apart from PS; combined = "Usual Status (PS+SS)"
Current Weekly Status (CWS)	In labour force last 1 week; employed if worked ≥1hr on any 1 day
Current Daily Status (CDS)	Measures unemployment <i>intensity</i> ; in labour force 1 day: >4hrs=100% engaged, 1-4hrs=50% engaged, <1hr=unemployed

LFPR = % of population in labour force (working/available) | **WPR** = % of population employed | **UR** = % unemployed among labour force.

TRAP **Elderly Dependency Ratio** ★ [B] = ratio of elderly (65+) to **working-age population** (NOT children-to-working-age, elderly-to-children, or urban-rural elderly ratio — tested distractors ★).

6 Types of Unemployment (Parmar + Lucent, merged)

Type	Meaning & Example
Structural	Skill mismatch vs job requirements; eg tech replacing farm labour

Educated	Degree-holders unable to find work (graduate unemployment); urban India; eg engineering grad lacking practical skills
Frictional	Short-term, job-search driven (Search/Voluntary unemployment); eg switching jobs in cities; [Lucent's phrasing: new industries drive out old ones, workers change over]
Disguised / Under-employment	More workers than needed, removal wouldn't hurt productivity; eg farm family of 5 needing only 3; [Lucent: person contributes less than capable of, eg engineer working as clerk]
Cyclical	Labour force reduced due to business cycles; opportunity returns when economy revives; mostly urban; eg Great Recession [Lucent: "result of depression in an economy"]
Seasonal	Unemployment at specific times of year; mostly rural [Lucent: farmers/farm labourers between harvest and next sowing]; eg firework sellers off-season
Classical (Real Wage)	Real wage too high → more job-seekers than openings; eg workers demand more than company can pay
Natural	Lowest unemployment level a healthy economy sustains without causing inflation
Open Unemployment [Lucent, new]	Able+willing but NO work at all available
Compulsory Unemployment [Lucent, new]	Willing to work at the current (prevailing) rate but simply can't get work

Great Recession def: prolonged downturn ≥ 2 consecutive quarters, eg US Subprime crisis; a prolonged recession = **Depression**, eg Great Depression USA 1929-1939.

Marginal Worker: employed < 6 months/183 days; eg landless agri labourers, low-wage industry workers. **Main Worker**: employed > 6 months/183 days; eg construction workers, seasonal employees, independent contractors.

Unemployment in India (Lucent) = structural (capital/resource shortage), NOT Keynesian demand-deficiency. Main causes: slow economic development, population explosion, outdated technique, improper education system, limited govt-planning effect.

7 Unemployment Data — Measurement History & Recent Trends

- **Lakdawala Formula** → used by Planning Commission (pre-NITI Aayog) for unemployment data, effective **11 March 1997**; prior method = NSSO surveys
- NSSO's own 3 concepts (Lucent's distinct wording): **General Status** (> 1 yr unemployed, long-term); **Weekly-unemployment** (no work even 1hr/week); **Daily unemployment** (considered the "best" concept)
- Ninth Plan: 3.6 crore fresh unemployed began seeking jobs

DOUBT All figures below are time-sensitive (dated 2023-2025) — verify against current releases.

- Unemployment rate (15+) fell 7.7% (May 2023) from 8.5% (Apr 2023) — CMIE data, due to ↓ labour participation (441.9 million, LPR fell 1.1pt to 39.6%)
- PLFS 2023-24: unemployment rate (15+) declined 6% (2017-18)→3.2% (2023-24); LFPR+WPR also increased
- Q2 FY25: urban unemployment rate (15+) improved to 6.4% (vs 6.6% Q2 FY24)
- EPFO net subscriptions: 61 lakh (FY19)→131 lakh (FY24), more than doubled; Apr-Nov 2024 net additions=95.6 lakh, youth-driven (18-25yrs=47% of net payroll additions)

8 Migration & MoSPI Reports (PYQ-only)

TRAP Migration's economic consequence for destination regions [B] ★ = exploitation of migrant labour + informal-sector growth (NOT ↑ per-capita income from skilled inflow, NOT ↓ land pressure, NOT balanced regional development — tested distractors ★). Migration A-R [B] ★: driven by **push** (negative, drives people away) + **pull** (positive, attracts) factors — both TRUE, R correctly explains A ★.

MoSPI-published reports [B] ★ — BOTH correct: **Periodic Labour Force Survey (PLFS)** by NSO (tracks LFPR/WPR/UR, monthly bulletins since 2025) AND **Monthly Infrastructure Performance Review Report** by IPMD (tracks 11 key infra sectors — electricity/coal/steel etc.) ★.

Rangarajan Committee (2012, Planning Commission, Dr. C. Rangarajan) → report 2014 → revised Tendulkar's poverty-line estimates → MPCE ₹972 rural/₹1,407 urban — full detail in Batch 6 §1, cross-referenced, not repeated here.

9 Central Govt Schemes 2014-16 — Full Reference Table (Lucent)

Scheme	Date
Digital India Programme	21 Aug 2014
Deendayal Upadhyay Antyodaya Yojana	25 Aug 2014
Pradhan Mantri Jan-Dhan Yojana	28 Aug 2014
Swachh Bharat Mission	2 Oct 2014
Sansad Aadarsh Gram Yojana	11 Oct 2014
HRIDAY	21 Jan 2015
Beti Bachao Beti Padhao	22 Jan 2015
Sukanya Samriddhi Yojana	22 Jan 2015
Mrida Swastha Card (Soil Health Card)	19 Feb 2015
Pradhan Mantri Kaushal Vikas Yojana	20 Feb 2015
Janani Suraksha Yojana	12 Apr 2015
Pradhan Mantri Jeevan Jyoti Bima Yojana	9 May 2015
Atal Pension Yojana	9 May 2015
Ustad (Minority Artisans)	14 May 2015
Kayakalp (Public Health)	15 May 2015
AMRUT	25 June 2015
Smart City Project	25 June 2015
Digital India (2nd entry, as printed)	1 July 2015
Swarn Maudrikaran Yojana	5 Nov 2015
Start Up India	16 Jan 2016
Shyama Prasad Mukherji National Rurban Mission	21 Feb 2016
Setu Bharatam Yojana	4 Mar 2016
Stand Up India	5 Apr 2016
Gramoday Se Bharat Uday	14-24 Apr 2016
Pradhan Mantri Ujjwala Yojana	1 May 2016
Namami Gange	7 July 2016

Sukanya Samriddhi Account → part of Beti Bachao Beti Padhao; girls <10yrs; min ₹1,000/max ₹1.5 Lakh deposit.

10 MGNREGS / NREGA — Full Detail

- NREG Bill passed Parliament **7 Sept 2005**; Presidential assent same year → NREGA
- Act provides **≥100 days** employment/yr to 1 able-bodied person per rural household
- Came into force **2 Feb 2006**; initially 200 districts → now covers all **740 rural districts**

- Renamed **MGNREGA** — 2 Oct 2009
- Cost sharing: **Centre 75% + State 25%** (material + skilled/semi-skilled wages)
- FY2025-26 wage hike: 2.33%-7.48% range, ₹7-₹26 increase; ₹7 hike in 5 states; highest ₹26 in Haryana (→₹400)

HOOK Employment Guarantee Act 2005 — full 9-point features: (1) ≥100 days/yr guaranteed casual manual labour at statutory min wage, paid within 7 days; (2) work provided within 15 days of demand, within 5km; (3) unemployment allowance (≥1/3 min wage) if work delayed; (4) medical treatment/hospitalisation + daily allowance ≥half min wage for injury; ex-gratia to legal heirs on death/disability; (5) 5% wage deduction possible for welfare schemes (health/accident/survivor/maternity insurance); (6) strict penalties for non-compliance; (7) full transparency/public scrutiny of accounts; (8) District Collector/CEO responsible at district level; (9) Gram Sabha monitors Gram Panchayat via social audit.

11 Development & Employment Programmes — Full Detail

AIM (Atal Innovation Mission) → NITI Aayog flagship, promotes innovation/entrepreneurship; umbrella org aligning Central/State/sectoral innovation policies.

PMKVY → Union Cabinet cleared 21 Mar 2015; skill training for 1.4 million youth, ₹1,120 crore outlay; via Min. of Skill Development & Entrepreneurship + NSDC; targets Class-X/XII dropouts/fresh labour-market entrants; 1.56 crore trained since 2015 (till 8 Oct 2024), 54% aged 15-29.

ABRY (Aatmanirbhar Bharat Rojgar Yojana) → part of AB 3.0 package, post-COVID employment recovery/incentive; via EPFO; till Mar 2024: 1,52,517 establishments claimed ₹10,188.50 crore benefits for 60.49 lakh beneficiaries.

PAHAL (DBTL) → launched 1 June 2013, 291 districts; relaunched 15 Nov 2014 (54 districts) + 1 Jan 2015 (rest of country); transfers LPG subsidy directly to 15crore+ consumers' bank accounts; **Guinness World Record** — largest DBT scheme.

Beti Bachao Beti Padhao → launched 22 Jan 2015, Panipat, Haryana, by PM; addresses gender imbalance/discrimination; Mahendergarh+Jhajjar (Haryana) = worst sex ratio (775 girls:1,000 boys, lowest in India); Haryana CM's own scheme = "Aapki Beti Humari Beti".

Sukanya Samriddhi Accounts → interest 9.1% p.a. (2014-15), yearly compounded; min ₹1,000/max ₹1,50,000 per FY, multiples of ₹100, lump-sum allowed, no deposit-count limit; opens only ≤age 10 (from DoB); closes after 21 years.

Atal Pension Yojana → launched 2015, targets unorganised-sector workers w/o statutory social security; via National Pension System (NPS), administered by PFRDA.

PMJDY → National Mission on Financial Inclusion, announced 2014; objectives: universal banking access (branch/BC within reasonable distance) + ≥1 basic bank account/household w/ RuPay Debit card (₹1 lakh accident insurance); slogan "*Mera Khata - Bhagya Vidhaata*"; accident cover via HDFC Ergo; life insurance ₹30,000 via LIC.

PMMY → launched 2015, administered by MUDRA Ltd (SIDBI subsidiary); collateral-free credit up to ₹10 lakh; 3 categories — Shishu (≤₹50,000), Kishore (₹50,000-5,00,000), Tarun (₹5,00,000-10 lakh).

Stand-Up India → launched 2016; promotes SC/ST+women entrepreneurship; bank loans ₹10 lakh-₹1 crore, ≥1 SC/ST borrower + 1 woman borrower per Scheduled Commercial Bank branch, for Greenfield enterprises (trading/mfg/services/allied-agri); extended 2019-20 to align with 15th FC period (2020-25); margin money ≤15% of project cost (convergence allowed), borrower's own contribution ≥10%.

DIGIDHAN Mission → from Union Budget 2017-18; target 2,500 crore digital transactions/yr via UPI/USSD/Aadhaar Pay/IMPS/debit cards; transferred MeitY→Dept of Financial Services, July 2023.

UPI → indigenous digital payment system; transactions grew 92 crore (FY17-18)→13,116 crore (FY23-24), CAGR 129% (cross-ref Batch 5).

SAGY (Saansad Adarsh Gram Yojana) → launched 11 Oct 2014; MPs to make 1 model village/constituency by 2016, +2 more by 2019; Adarsh Gram population 3,000-5,000 (plain)/1,000-3,000 (hilly/tribal/difficult); new-village-identification window ended March 2024.

AYUSH → Dept of Indian System of Medicine & Homeopathy (ISM&H) established 1995 in Min. of Health & Family Welfare; rechristened AYUSH (Ayurveda/Yoga/Naturopathy/Unani/Siddha/Homeopathy) 2003.

Ayushman Bharat-PMJAY → ₹5 lakh/family/yr health cover, secondary+tertiary care, poor/vulnerable; launched 2018, subsumed Rashtriya Swasthya Bima Yojana (RSBY).

SPMRM (Shyama Prasad Mukherji Rurban Mission) → launched 2016 by Min. of Rural Development; "Rurban clusters" — 25,000-50,000 population (plain/coastal) or 5,000-15,000 (desert/hilly/tribal).

Swachh Bharat Mission (Gramin) → rural sanitation, eradicate open defecation; renamed from Nirmal Bharat Abhiyan (NBA, w.e.f. 1 Apr 2012) → SBM(G) w.e.f. 2 Oct 2014; Phase II launched 2020-21 (post-ODF) → target: Sampurna Swachhata + ODF→ODF Plus by 2024-25.

Aadhaar → world's first on-scale digital ID service (formless/paperless); 80crore+ cards issued; world's largest biometric programme; identity infra for welfare-scheme delivery.

DBT → launched 2013 via Aadhaar Payment Bridge (APB) + other channels; 35 centrally-sponsored schemes under its purview (LPG/PDS/MGNREGA linked).

DAY-NRLM → flagship poverty-reduction programme, Min. of Rural Development, 2011; world's largest livelihood-improvement initiative; capacity-building focus (trained manpower). **AGEY** → sub-scheme under DAY-NRLM from FY2017-18. **SHGs** → community-based women's groups for mutual support/savings/credit. **WEAF** → under Aajeevika-NRLM, empowers women entrepreneurs in SHGs; loans ≤₹5 lakh/5yrs w/ 2% interest subvention (prompt repayment); also ≤₹1.5 lakh/borrower for ≤3yrs; special focus: "**Lakhpati Didis**".

Social Sector 7 flagship programmes: Sarva Shiksha Abhiyan, Mid-Day Meal Scheme, National Health Mission, Integrated Child Development Services, Swachh Bharat Abhiyan, MGNREGS, 100 Smart Cities.

PMJJBY → started 2015; ₹2 lakh renewable 1-yr life cover, ages 18-50 (cover till 55), any-cause death, premium ₹330/yr. **PMSBY** → brought 2015; ₹2 lakh accidental-death/disability cover + ₹1 lakh partial-disability, ages 18-70, premium ₹12/yr. **APY** → launched May 2015; fixed pension ₹1,000/2,000/3,000/4,000/5,000/month from age 60, based on contribution option (entry age 18-40). PMJJBY+PMSBY+APY launched simultaneously at 115 locations.

PMUY → launched 1 May 2016, Ballia UP; LPG connections for BPL households (women's names), replaces unclean cooking fuel; target 5 crore connections. **Ujjwala 2.0** → launched 2021; +1 crore additional LPG connections for poor households' adult women.

PM Surya Ghar Muft Bijli Yojana → rooftop solar scheme, launched 13 Feb 2024; solarize 1 crore households; 300 units free electricity/month; ₹75,000 crore investment.

PM Vishwakarma Scheme → launched 17 Sept 2023 (Vishwakarma Jayanti); for traditional artisans (18 identified trades); free registration via CSCs (biometric portal); PM Vishwakarma certificate+ID card; skill upskilling (basic+advanced) + ₹15,000 toolkit incentive; collateral-free credit ≤₹1 lakh (1st tranche)/≤₹2 lakh (2nd tranche) at 5% concessional rate; digital-transaction incentive + marketing support; nodal ministry = MSME.

PM-JANMAN → Pradhan Mantri Janjatiya Unnat Gram Abhiyan — improves PVTG quality of life, 11 critical interventions via 9 line ministries; based on PM-JAN-MAN (launched 2023); India's ST population = 10.45 crore (2011 census); 75 PVTG communities across 18 states + Andaman & Nicobar UT.

Appendix

A.1 — PYQ citation index (buckets "07 Inflation" + "08 Poverty & Unemployment")

Fact tested	Exam · Date · Shift
Stagflation definition	SSC Phase XIII, 02/08/2025 (Sh-02)
WPI reform: Abhijit Sen Committee, 2008	SSC CHSL Tier-I, 12/11/2025 (Sh-02)
Demand-pull mechanism (govt spending→shortage→prices)	SSC CHSL Tier-I, 19/11/2025 (Sh-03)
CPI definition	SSC Phase XIII, 26/07/2025 (Sh-02)
Inflation→money value falls (macro concept check)	SSC CPO Tier-I, 09/12/2025 (Sh-02)
2024 core-inflation decline = commodity price drop	SSC CGL Tier-I, 19/09/2025 (Sh-01)
Keynesian recession response	SSC Stenographer, 06/08/2025 (Sh-03)
Rangarajan Committee constituted 2012	SSC CHSL Tier-I, 28/11/2025 (Sh-03)
Elderly Dependency Ratio definition	SSC Phase XIII, 30/07/2025 (Sh-02)
MoSPI reports: PLFS + Infra Performance Review	SSC CHSL Tier-I, 13/11/2025 (Sh-02)
Migration consequence = labour exploitation	SSC Stenographer, 08/08/2025 (Sh-03)
Migration push/pull A-R	SSC Stenographer, 08/08/2025 (Sh-01)

A.2 — Conflicts & doubts carried forward

- CPI base year: "2023-24" (p.266) vs "2024" (p.267, same book, same chapter)
- Inflationary Gap defined twice with different wording (p.266 vs p.268) — same concept, not merged, both preserved
- All scheme dates/figures/targets are as printed in a mid-2025-dated source; verify current status before relying on any specific number

A.3 — Scope note

Lucent §7's scheme catalogue overlaps with a future Static GK "Government Policies" build; transcribed once here per the raw extraction's own build note, not duplicated elsewhere.